Cyclical Mirage or Structural Reality? A Critical Analysis of the Spanish Labor Market

Pablo Álvarez de Toledo Rodríguez

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1 Introduction: The Volatility of a Labor-Abundant Economy

The recent data published by *El País* on December 2, 2025, presents a seemingly triumphant scenario: unemployment fell by 19,000 people in November, and job destruction was halved compared to the previous year. While these headlines invite optimism, a rigorous economic analysis must peel back the layers of aggregate data to understand the structural reality underneath.

As economists, we must ask: Are we witnessing a genuine strengthening of the productive structure, or merely the upward swing of Spain's high-beta economic cycle? The Spanish economy has historically exhibited a much higher volatility in employment than its European neighbors. Therefore, good employment data in a growth phase is not necessarily a sign of successful policy intervention, but often the mechanical consequence of a specific production model, one that is labor-abundant rather than capital-intensive.

2 Analysis of the November 2025 Data: Man vs. Machine

The figures, 21.82 million affiliates and registered unemployment dropping to 2.42 million, must be interpreted through the lens of Spain's factor endowment. The Spanish productive fabric is structurally "labor-abundant." Unlike our northern neighbors, whose economies are more capital-intensive, Spain relies heavily on human capital for marginal production adjustments.

To illustrate this structural difference: when a capital-intensive economy, such as Germany's, faces a downturn, companies might turn off three machines and dismiss a few operators. In contrast, when the Spanish economy slows, the adjustment falls disproportionately on labor; instead of turning off a machine, the market dismisses ten workers. This dynamic works symmetrically in reverse. In periods of recovery, such as the one we are currently navigating, Spain creates jobs at a rate that outpaces its GDP growth because it is "turning on workers" rather than deploying long-term capital investment.

Thus, the resilience seen in November 2025, while positive for households, exposes a vulnerability. It suggests that the recovery is being driven by adding variable factors (labor) rather than by a deepening of the capital structure (machinery and technology). We are hiring more, yes; but are we creating a more robust economy, or simply expanding a fragile layer of labor-intensive production that will be the first to evaporate when the cycle turns?

3 The Fiscal Debate: Sound Finance as a Prerequisite for Growth

Our course material (pages 98-99) discusses the tension between austerity and stimulus, correctly noting that markets value *"economic growth"* above all. The text argues that reducing deficits is futile if it chokes growth. While I agree that growth is the ultimate goal, the *quality* and *source* of that growth matter profoundly.

There is a distinction to be made between organic growth, funded by genuine savings and private investment, and artificial growth fueled by public deficit. The error of past crises was perhaps not the pursuit of balanced

books per se, but the method used: raising taxes on the private sector to sustain a bloated public structure. This form of "austerity" indeed destroys the tax base.

However, I would argue that maintaining balanced public accounts is not merely an accounting exercise, but a fundamental requirement for sustainable private growth. When the government runs chronic deficits to stimulate the economy, it consumes the limited pool of available savings, crowding out private investment and distorting the structure of production. True reassurance to the markets, and true protection for the middle class, comes from a solvent state that does not mortgage future tax revenues to subsidize current consumption. Therefore, fiscal discipline should not be seen as an impediment to growth, but as the only solid foundation upon which the private sector can build long-term capital.

4 Spain in the Monetary Union: The Amplifier Effect

Spain's membership in the EMU (Eurozone) implies the relinquishment of monetary sovereignty. In a Monetary Union, we cannot devalue the currency to artificially restore competitiveness; therefore, the burden of adjustment falls on internal prices and wages.

It is here that the interaction between the business cycle and labor regulation becomes critical. The high structural unemployment we still see (2.42 million people) is the result of a toxic combination; a volatile business cycle acting upon a rigid regulatory framework. While the cycle drives the direction of the tide, our rigid labor laws determine the severity of the flood.

In a "labor-abundant" economy, when the cycle turns negative, the price of labor needs to adjust downwards to preserve employment. However, rigidities such as high severance costs and inflexible collective bargaining agreements block this price adjustment. Consequently, the market adjusts via quantity: massive layoffs. Liberalization is not a panacea that eliminates the business cycle, but it is the essential shock absorber. If we do not use this period of growth to liberalize the market, we are ensuring that the next cyclical downturn will once again result in the destruction of millions of jobs, rather than a temporary adjustment in wages or hours.

5 Conclusion

In conclusion, the data from *El País* is a welcome respite, showing a market that breathes despite the seasonal cold. However, we must remain skeptical of interpreting this as a triumph of management. The sharp rise in employment is consistent with the behavior of a labor-abundant economy in an upswing; just as the sharp falls are consistent with downturns.

The path to a truly prosperous Spain does not lie in celebrating cyclical highs or in relying on fiscal stimulus that compromises future solvency. It lies in fostering an environment where capital accumulation is encouraged over debt, and where the labor market is liberated from the rigidities that amplify our crises. Until we prioritize sound money, balanced budgets, and structural flexibility, Spain will continue to ride the rollercoaster of the business cycle, with its workers paying the highest price for every turn.

Reference

El País (December 2, 2025). *España pierde 14.000 empleos en noviembre, la mitad que el año pasado, y el paro baja en 19.000 personas*. Economy Section. Retrieved from:
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